

Subject Description Form

Subject Code	AF4337
Subject Title	Alternative Investments
Credit Value	3
Level	4
Normal Duration	1-semester
Pre-requisite / Co-requisite/ Exclusion	Pre-requisite: Investments (AF3316) / Investment and Portfolio Management (AF3323)
Objectives	This subject is designed to offer students an opportunity to gain a comprehensive understanding of the alternative investment sector, including hedge funds, cryptocurrencies, managed futures, private equity, venture capital, real estate, commodities and foreign exchange. The subject will cover aspects of investment management, including the establishment of investment policies by institutional asset owners, risk management strategies, and the processes through which investors access, select, and perform due diligence on investment opportunities.
Intended Learning Outcomes	Upon completion of the subject, students will be able to: - Describe the overall Alternative Investment ecosystem and the typical characteristics of alternative investments markets. - Differentiate between the main categories of alternative investments and their respective business models. Demonstrate knowledge of various alternative investment types. - Analyze and compare various alternative investment strategies regarding their risk and return profiles, strengths and weaknesses, and suitability for different types of market participants. - Evaluate different methods for accessing, comparing, and selecting different Alternative Investment strategies and investment opportunities.
Subject Synopsis/ Indicative Syllabus	A. Introduction to Alternative Asset Ecosystem – Investors, regulations, and drivers of demand for Alternative Assets. The role of different asset classes and the corresponding institutional asset owners and investment policies. B. Hedge Funds – Hedge fund classification, returns and asset allocation, the process of evaluating a hedge fund investment program, hedge fund indices and strategies. C. Digital Assets and Crypto Currencies – Decentralized ledger system (DLS), initial token offerings, cryptocurrency, and blockchain technology. D. Private Equity – Venture Capital, Growth Equity, Buyouts and Leveraged Buyouts, the LP and GP relationship life cycle, and Long-hold Buyout Funds. E. Commodities – Economics of commodity spot markets, commodity exposure and diversification, expected returns on commodities, commodity risk attributes.

Teaching/Learning Methodology	The three hours of seminar per week will be used flexibly by the lecturer for discussing key concepts and their applications with students and carrying out other learning activities with them. To maximize benefits, students are encouraged to share their views and experiences actively with their lecturers and other classmates.						
Assessment Methods in Alignment with Intended Learning Outcomes	Specific assessment methods/tasks	% weighting					
			a	b	c	d	
	Continuous Assessment	50%					
	1. Individual Essay	15%	√	√	√	√	
	2. Participation + Quizzes	15%	√	√	√	√	
	3. Midterm	20%	√	√	√	√	
	Final Examination	50%	√	√	√	√	
	Total	100 %					
	Explanation of the appropriateness of the assessment methods in assessing the intended learning outcomes: Individual Essay is a formative assessment method which effectively assesses intended learning outcomes (a) to (d) by fostering collaboration, critical thinking, and communication skills. This assessment method allows students to apply theoretical knowledge in real world scenarios, enhancing their understanding while promoting the ability to articulate ideas clearly to diverse audiences. Class participation and quizzes are foundational methods to effectively assess intended learning outcomes (a) to (d) by promoting active engagement and immediate feedback. Participation encourages critical thinking and interaction with the instructor, while quizzes evaluate comprehension and retention of the materials delivered. Midterm/Final examination is an effective method which is suitable for offering a comprehensive overview of the attainment of learning outcomes (a) to (d). The examination may include multiple choices, short essay questions and case analysis, which evaluates students’ comprehensive understanding and application of course material, as well as critical thinking, problem-solving skills, and the ability to synthesize information.						
Student Study Effort Expected	Class contact:						
	▪ Seminars				39 Hrs.		
	Other student study effort:						
	▪ Self-study & Group discussion				81 Hrs.		
	Total student study effort				120 Hrs.		
Reading List and References	Textbook Chambers, D. R., Anson, M. J., Black, K. H., & Kazemi, H. B. (2015). <i>Alternative Investments: CAIA Level I</i> . John Wiley & Sons.						

Kazemi, H. B., Black, K. H., & Chambers, D. R. (2016). *Alternative Investments: CAIA Level II*. John Wiley & Sons.

References

Lerner, J., & Leamon, A. (2023). *Venture capital, private equity, and the financing of entrepreneurship*. John Wiley & Sons.

Trabelsi, D., & Shiri, G. A. (2011, May). Venture Capital and the Financing of Innovation. In *International Conference of the French Finance Association (AFFI)*.

Useful Websites

<https://caia.org/>

<https://www.cfainstitute.org/en/membership/professional-development/refresher-readings/introduction-alternative-investments>